

Saving North Middletown Elementary

Executive Summary • The Case for Growth, the Case Against Closure, and the Choice

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THE CASE FOR GROWTH

A district-wide problem with district-wide levers

The problem is not one school. Elementary enrollment is down 16.5 percent from its 2016 peak while the census shows the county's child population essentially flat for twenty-five years. Kindergarten intake hit 149 last fall, the lowest in the federal record, and fewer children have entered kindergarten than left fifth grade in seven of the last eight years. The General Fund draws down roughly \$1.1 million of reserves a year, and the enrollment loss alone accounts for most of it: the 205 missing elementary students carry about \$948,000 a year of state funding. The revenue posture is unique in the region: the Department of Revenue's certified values show Bourbon County's tax base grew 107.5 percent from 2012 to 2025, second fastest of the eight area counties, while the school levy fell 5.4 percent, the only decline among nine districts. Scott County rode the same boom, raised its rate 38.9 percent, and levies a 0.5 percent occupational tax besides; eight Kentucky districts levy that tax, Bourbon levies none. Merely holding the 2012 rate would yield about \$613,000 more per year today.

Lever one, enrollment. Each returning student brings the \$4,626 SEEK base against roughly \$400 of marginal cost. The recoverable pool is measured: 259 registered homeschoolers, roughly 450 to 550 county children outside the public schools, 131 nonresident students already choosing this district. The model is proven in-state: Eminence Independent grew 37 percent over the decade Bourbon shrank 13, on differentiation and open enrollment. A themed academy at North Middletown, a preschool-to-kindergarten pipeline, foundation-funded scholarship promises, and marketing against a measured pool are the plan; filling North Middletown's 46 open seats alone nets \$56,000 to \$116,000 a year. **Lever two, fixed costs.** Transportation is \$2.7 million coded to no school with no routing study ever produced; a ten percent optimization is about \$270,000 a year. Kentucky's school energy program documented \$225 million of statewide savings. Medicaid billing under the 2019 expansion is a records request away from being sized. **Lever three, revenue.** The never-recallable four percent option compounds to about \$978,000 a year by year three. The recall record is survivable: Marion County voters upheld their board's nickel 54 to 46 in 2015, and Bourbon's own voters declined even to petition either of this district's two recallable nickels.

THE CASE AGAINST CLOSURE

Five answers from the district's own documents

Performance. North Middletown leads the county in every state-tested subject. **Cost.** The district's own Cost of Delivery of Services table, May 21, 2026, prices the school at \$19,080 per student against a state average of \$19,020 on the same table, and within 110 percent of its cheapest same-grade peer against the 150 percent standard in the state facilities manual. **What closure frees.** The measured fixed base is \$58,774 if the building's four fixed staff are reassigned, \$227,831 if they are cut, \$276,928 if the building is sold; across 2,916 priced scenarios the median net saving is \$21,571 a year and 45 percent of scenarios lose money. **The**

receiving schools. The district's own table shows them at 97 and 98 percent of capacity, and the high school at 112 percent. **What closure risks.** When this district closed Millersburg Elementary in 2006, about 12 percent of displaced students left the district's rolls the following fall, and Paris Independent gained 25 students above trend in exactly that year. Treat 2006 as the floor: exits are far wider now, with funded HB 563 transfers, homeschool at twice its 2006 share, and a statewide virtual academy that grew from 937 to 2,412 students in its first two years. The losses step up with every ten percent of students who leave:

Share who leave	Students (of 128)	State funding lost, per year	Lost through grade 12	Against the \$21,571 median saving
10 percent	13	about \$60,000	about \$560,000	2.8 times the saving
20 percent	26	about \$120,000	about \$1.1 million	5.6 times
30 percent	38	about \$176,000	about \$1.7 million	8.1 times

The children in the building carry about \$5.6 million of remaining state funding through grade 12, and roughly one in seven students at the middle and high school came through North Middletown. A family lost at kindergarten is lost for thirteen years.

THE CHOICE

Two roads, and four asks that cost nothing

Shrink to fit, or grow and thrive. On North Middletown specifically: **One**, keep the school Permanent in the facility plan with its capital needs at lower priority. A plan commits no money; the Transitional label saves nothing while foreclosing state facilities eligibility, major renovation, and replacement. **Two**, state plainly that near-term savings are minimal: if staff are reassigned rather than cut, the closure frees the \$58,774 utilities line, and restricted renovation money is capped by enrollment regardless, a ceiling that rises with every student recruited back. **Three**, give the school the four years to the next facility plan for a measured enrollment push, judged on results. **Four**, accept the community's fundraising and donated services for the building's critical needs. A closed school cannot be recalled by the children it displaces; a growth plan can be measured, every year, by everyone.

The full 57-page report, the financial model with every calculation as live formulas, all archived district documents, and every prior version with its corrections are free at SaveNMES.org and in the public repository.